

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 23-04

PORTS AMERICA CHESAPEAKE, LLC,

and

MARINE TERMINALS CORPORATION-EAST, COMPLAINANTS,

v.

APS EAST COAST, INC., RESPONDENT.

**PORTS AMERICA CHESAPEAKE, LLC
AND
MARINE TERMINALS CORPORATION-EAST'S
REPLY TO APS EAST COAST INC.'S EXCEPTIONS TO
THE INITIAL DECISION OF DECEMBER 16, 2024**

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I. INTRODUCTION

APS East Coast, Inc. (“AMPORTS” or “Respondent”) raises multiple exceptions to the Initial Decision’s (“ID’s”) findings, largely by rehashing arguments already made and rejected.

AMPORTS requests the Federal Maritime Commission (“Commission” or “FMC”) throw out the Complaint and the ID’s well-reasoned analysis concluding it violated the Shipping Act of 1984, as amended (the “Shipping Act”), solely on the ground that Complainants failed to satisfy a “market impact” requirement applicable in exclusive arrangement cases, despite this case not being about a terminal exclusion.

In the alternative, AMPORTS contends the Commission should ignore its obligation to first consider the reasonableness of AMPORTS’ justifications for charging a \$25 (and later \$10) access fee in favor of blindly deferring to its unlawful business decisions. But AMPORTS’ position is not supported by applicable law nor the facts of this case. Instead, after enumerating a series of unsupported exceptions, AMPORTS seeks an impermissible advisory opinion, asking for a roadmap on how to concoct a defensible access fee it can charge to Complainants and ocean carriers. This effort should be seen for what it is: AMPORTS’ continued focus on collecting “access fees,” regardless of whether they are lawful or reasonable.

A. The Underlying Dispute and Conduct in Violation of the Shipping Act

The fundamental issue in this proceeding is AMPORTS, an FMC registered marine terminal operator (“MTO”), improperly using its published MTO schedule to unlawfully raise general revenue from a single party under false pretenses. Ports America Chesapeake, LLC (“PAC”) and Marine Terminals Corporation-East (“MTCE”) (collectively, “Ports America” or “Complainants”) and Ceres Terminals, Incorporated (“Ceres”) are the only competing stevedores at AMPORTS’ Baltimore terminals. AMPORTS implemented a “preferred stevedoring” program at those terminals, falsely claiming both Complainants and Ceres were considered for selection as the “preferred” (but

not exclusive) stevedore. Following a sham “competitive bidding” process that unlawfully failed to include Complainants, AMPORTS unilaterally deemed Ceres as its “preferred stevedore.” AMPORTS then imposed an unreasonable and discriminatory \$25 per vehicle access fee on Complainants as the sole “non-preferred stevedore” in a knowing and blatant violation of the Shipping Act.

All along the way, AMPORTS brazenly touted the tortious intention of its plan: to penalize Complainants as the “non-preferred stevedores” by collecting excessive and unreasonable access charges, thereby “handing [Complainants’] book of business to [Ceres].” As a direct result of AMPORTS’ knowing and intentional actions, Complainants lost a significant amount of business, suffered calculable damages, and were forced to commence this action.

After a year of litigation, AMPORTS abruptly changed course and rescinded the unlawful \$25 access fee, replacing it with a similarly violative \$10 access fee imposed on all stevedores. The baseless justifications advanced by AMPORTS for the \$25 access fee were repeated for the \$10 access fee: vague and unsupported alleged improvements to terminal infrastructure and general benefits for all terminal users. No matter the amount or who it is charged to, the access fees are still unlawful and must be rejected under the Shipping Act.

B. The Initial Decision and AMPORTS’ Exceptions

The ID correctly determined AMPORTS willfully violated the Shipping Act and Complainants lost business as a direct result. The ID reached these conclusions by fundamentally rejecting AMPORTS’ non-preferred stevedore \$25 access fee and finding that AMPORTS’ conduct violated the Shipping Act on multiple grounds.

Importantly, the ID also correctly rejected AMPORTS’ argument that an exclusive arrangement “market impact” showing was required to establish *prima facie* unreasonableness. As the Complaint does not challenge an “exclusive arrangement” and Complainants were not excluded

from stevedoring at the AMPORTS terminals, the “market impact” analysis is inapplicable to the causes of action in this case. Thus, the ID correctly concluded that Complainants established a *prima facie* case of unreasonable practices and unreasonable preference and prejudice causes of action, which appropriately shifted the burden to AMPORTS to justify its practices. AMPORTS then advanced three purported justifications for the \$25 access fee, each of which was evaluated and rejected. The ID also correctly rejected AMPORTS’ assertion that the Commission should defer to its purported business judgment, applying long-standing Commission precedent declining to defer to business judgment without first evaluating and determining reasonableness.

Ultimately, the ID correctly found AMPORTS engaged in unreasonable and discriminatory practices, in violation of 46 U.S.C. §§ 41102(c) and 41106(2), by charging Complainants a “much higher” access fee without any additional benefits or sufficient justification. The ID also correctly found AMPORTS’ attempt to collect the \$25 access fee was unreasonable because the tariff expressly imposed the access fee on carriers or cargo interests, not on non-preferred stevedores. Accordingly, the ID issued a cease and desist order requiring AMPORTS to stop all invoicing or attempts to collect the unlawful \$25 access fee.

The Commission should affirm the ID and reject AMPORTS’ baseless exceptions.

II. FACTUAL BACKGROUND

A. The Parties

AMPORTS owns two marine terminals in Baltimore, MD where vessels load and discharge vehicles for processing.¹ AMPORTS is an FMC-registered MTO and publishes an FMC MTO Schedule: APS Atlantic & Chesapeake Terminal Tariff No. 2, 019071-002.²

¹ PFF ¶ 14 (admitted); CX_01517, Molyneaux Dep. Ex. 3.

² PFF ¶¶ 7-8 (admitted); CX_00002, Complaint ¶ 7; CX_00027, Answer ¶ 7; CX_00003, Complaint ¶ 8; PFF ¶ 9 (admitted); CX_00027, Answer ¶ 8.

PAC and MTCE are stevedores in the Port of Baltimore, hired directly by vessel operators to perform Ro-Ro stevedoring at AMPORTS' terminals.³ Complainants load and unload vehicles between vessels and the points of rest on the terminals.⁴

B. The Alleged “Competitive Bidding,” the Preferred Stevedoring Agreement, and the Unlawful \$25 Access Fee

To raise additional revenue, AMPORTS' executives developed a preferred stevedoring program, whereby the “preferred stevedore” would pay a preferential contract access fee for each automobile stevedored, while all other “non-preferred stevedores” would be subject to a much higher tariff access fee.⁵ The only companies providing Ro-Ro stevedoring for ocean carriers loading or discharging at AMPORTS' terminals in Baltimore were (1) Ceres and (2) Complainants.⁶

AMPORTS then purported to undertake a process to select a “preferred stevedore.” Complainants, however, were unlawfully and intentionally omitted from this process, and Ceres was unilaterally designated as the preferred stevedore.⁷

On November 1, 2022, AMPORTS announced to its customers its selection of Ceres and that commencing on January 1, 2023, any services performed by a “non-preferred stevedore” would be subject to a \$25 per car access fee in the tariff.⁸ Complainants were thereby unilaterally deemed the only “non-preferred stevedores” and subjected to the overtly discriminatory and unreasonable \$25 access fee. In contrast, AMPORTS charged Ceres a much lower, [REDACTED] fee pursuant to the

³ PFF ¶ 1 (admitted); CX_00001-02, Complaint ¶ 1; PFF ¶ 2 (admitted); CX_00002, Complaint ¶ 2; PFF ¶ 3; CX_00002, Complaint ¶ 3.

⁴ PFF ¶ 13 (admitted); CX_00786-87; CX_00822, Molyneaux Dep. Tr. 33:17-34:6; 69:10-23.

⁵ PFF ¶ 59 (admitted); CX_01328, AMPORTS 143(b)(6) Dep. Ex. 17; CX_00170-71, AMPORTS 143(b)(6) Dep. Tr. 133:17-134:6; PFF ¶ 60 (admitted); CX_00846-47, CX_00849, Molyneaux Dep. Tr. 93:14-94:2; 96:9-12.

⁶ PFF ¶ 139; CX_00117-18, AMPORTS 143(b)(6) Dep. Tr. 80:22-81:1.

⁷ PFF ¶ 44; CX_00390-91, Buben Dep. Tr. 63:7-64:2; PFF ¶ 58; CX_01328, AMPORTS 143(b)(6) Dep. Ex. 17.

⁸ PFF ¶¶ 89, 92 (admitted); CX_01359, Brown/AMPORTS 143(b)(6) Dep. Ex. 22.

confidential preferred stevedoring contract.⁹ Despite this, as of April 12, 2023, AMPORTS falsely represented in its tariff that it had conducted a “competitive bidding” process to select a preferred stevedore.¹⁰

Notably, Complainants and their ocean carrier customers, including Wallenius Wilhelmsen, MOL (Americas) LLC, Kawasaki Kisen Kaisha, Ltd., and Grimaldi Group S.p.A. all vigorously objected to AMPORTS’ preferred stevedoring program and the \$25 per car access fee.¹¹ On December 29, 2022, three days before the \$25 access fee was to take effect, AMPORTS advised it was temporarily suspending collection pending a “comprehensive response” to the many objections it received.¹² Three months later, AMPORTS “clarified” that it was intending to assess the access fee only on Complainants, despite the language in the tariff that it would be assessed against AMPORTS’ ocean carrier or cargo interest customers.¹³ Complainants again objected, putting AMPORTS on notice that its tariff and conduct overtly violated the Shipping Act.¹⁴ AMPORTS ignored these warnings from Complainants and their ocean carrier customers and imposed the access fee on April 10, 2023.

Although AMPORTS asserted that the differing fees were necessary for the purported capital improvements (which AMPORTS never calculated), it failed to take any steps to allocate any costs or benefits to the stevedores paying the \$25 fee. AMPORTS also failed to allocate benefits to

⁹ PFF ¶ 59 (admitted); CX_01328, AMPORTS 143(b)(6) Dep. Ex. 17; CX_00170-71, AMPORTS 143(b)(6) Dep. Tr. 133:17-134:6; RPFF ¶ 43; RX_67-68, Decl. of Jacob S. Brown, July 18, 2024.

¹⁰ PFF ¶ 103 (admitted); CX_01388, AMPORTS 143(b)(6) Dep. Ex. 33, Rule 34 2.

¹¹ See CX_01367 (“Wallenuis Wilhelmsen is concerned that the announced policy... unfairly advantages Ceres ... [and] the fee associated with use of a non-preferred stevedore appears to be unreasonable in that it does not appear to be related to or based on any legitimate transportation consideration”); see also CX_01371 (“[Grimaldi views] those efforts as commercial offensive ... seek[ing] to usurp our own decision on whom we want to perform our stevedoring ... We also understand ... Amport’s proposed action is likely in violation of any number of applicable state and federal laws.”); see also Complainants’ Exceptions at 11-12.

¹² PFF ¶ 98; CX_02037, APS_0118.

¹³ PFF ¶ 101 (admitted); CX_01520, Beall Dep. Ex. 14.

¹⁴ CX_02039, APS_0129-30, n.1 and n.2.

stevedores versus similar benefits to other classes of users that are not charged. Indeed, as AMPORTS testified, everyone benefits from capital improvements, not just stevedores (if they do at all).¹⁵

Critically, AMPORTS fully expected the access fee would adversely impact Complainants' long-term agreements and business relationships with their ocean carrier customers and result in Complainants losing that business to Ceres, the "preferred" stevedore.¹⁶ Indeed, because of AMPORTS' punitive charges and misconduct—and as AMPORTS itself fully anticipated—Complainants lost nearly all of their business to Ceres.¹⁷

C. The New, Unlawful \$10 Access Fee

Complainants filed their Verified Complaint against AMPORTS on May 30, 2023, alleging violations of the Shipping Act's prohibitions against unreasonable practices in violation of 46 U.S.C. § 41102(c); unreasonable preferences and prejudices in violation of 46 U.S.C. § 41106(2); and unreasonable refusals to deal in violation of 46 U.S.C. § 41106(3). Complainants sought a cease and desist order and reparations for the loss of their stevedoring business to Ceres. The deadline for completion of discovery was May 1, 2024.

On May 15, 2024, a year after Complainants commenced this proceeding, AMPORTS—in a blatant attempt to improve its litigation position—abruptly reversed course, unilaterally rescinding the \$25 access fee. Then, on May 24, 2024, days before the submission of the opening brief, AMPORTS imposed a new \$10 access fee, effective June 1, 2024, this time on all "stevedoring service providers."¹⁸

¹⁵ PFF ¶ 70 (admitted); Interrogatory Response No. 20; CX_00470, Buben Dep. Tr. 143:17-21.

¹⁶ PFF ¶ 140; CX_00196-97, AMPORTS 143(b)(6) Dep. Tr. 159:9-11; PFF ¶ 144; CX_00486-88, Buben 61, Dep. Tr. 159:20-161:13; CX_00145-46, AMPORTS 143(b)(6) Dep. Tr. 108:4-109:7.

¹⁷ PFF ¶ 147; CX_01158, Schmidt Dep. Tr. 119:10-18; *see* CX_01130-31; CX_01132; CX_01134-35; CX_01136, Schmidt Dep. Tr. 91:11-92:13; 93:14-19; 95:17-96:15; 97:5-16; *see also* Complainants' Exceptions at 12-13.

¹⁸ PFF ¶ 116 (admitted); CX_01820, May 2024 Amend. to Schedule, Rule 34 2; PFF ¶ 118

The new \$10 access fee explicitly charges only one class of payor (stevedores) for the same unsubstantiated infrastructure costs and general benefits that AMPORTS previously argued justified the impermissible \$25 access fee.¹⁹ As such, the \$10 access fee suffers from many of the very same defects as the \$25 access fee and is similarly unlawful under the Shipping Act. *See* Complainants’ Exceptions to the Initial Decision of December 16, 2024, Section IV(C).

III. STANDARD OF REVIEW

The Commission reviews initial decisions *de novo* and has all the powers which it would have in making the initial decision. 46 C.F.R. § 502.227(a)(6); *see also Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, Dkt. No. 12-02, 2015 FMC LEXIS 43, *110-11 (FMC Dec. 18, 2015). However, the Commission will generally adopt findings of fact, applications of law, and conclusions in initial decisions where the Commission determines, considering the exceptions, that those findings of fact, applications of law, and conclusions “are well-reasoned and supported by evidence in the record.” *United Logistics (LAX) Inc. – Possible Violations of Sections 10(A)(1) and 10(B)(2)(A) of the Shipping Act of 1984*, Dkt. No. 13-01, 2014 WL 5316339, at *1 (FMC Feb. 6, 2014).

Complainants bear the burden of proving their allegations by a preponderance of the evidence. 5 U.S.C. § 556(d); 46 C.F.R. § 502.155; *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, Dkt. No. 08-03, 2014 FMC LEXIS 35, at *41 (FMC Dec. 17, 2014). Under that standard, complainants must demonstrate that their allegations are more probable than not. *DSW Int’l, Inc. v. Commonwealth Shipping, Inc.*, Dkt. No. 1898(F), 2012 FMC LEXIS 32, at *2 (FMC Jul. 23, 2012). Where a complainant makes out a *prima facie* case of unreasonableness, the burden of refuting the *prima facie* showing shifts to the respondent. *River Parishes Co., Inc. v. Ormet Primary Aluminum*

(admitted); CX_01924, June 2024 Amend. to Schedule, Rule 34 2(a)(2)(iii). The Presiding Officer granted an emergency motion permitting Complainants to address the new \$10 access fee in Complainants’ briefing. Complainants’ opening brief on the alleged violations of 46 U.S.C. § 41102(c) in the Complaint also challenged AMPORTS’ new \$10 access fee.

¹⁹ PFF ¶ 120 (admitted); CX_01923, Letter to Stevedores and Carriers.

Corp., Dkt. No. 96-06, 1999 WL 125991, at *23 (FMC, Feb. 3, 1999).

IV. REPLIES TO AMPORTS' EXCEPTIONS

AMPORTS' appeal, comprised of eleven numbered exceptions, is primarily focused on two core arguments, both of which were soundly rejected by the ID.

First, in Exception 1, AMPORTS argues Complainants failed to prove a “*prima facie* market impact,” an element which is not applicable to the causes of action and unlawful conduct here. As the ID correctly found, and AMPORTS itself concedes, no exclusive agreement is challenged in this case, because AMPORTS did not exclude Complainants from accessing its terminals. Thus, the exclusive arrangement authority AMPORTS relies on and the purported market impact element are not applicable here. Nor does the case law permit AMPORTS to engage in unlawful conduct without any obligation to justify the reasonableness thereof under the Shipping Act.

Second, AMPORTS' Exceptions 4 and 5 argue the Commission should defer to AMPORTS' purported “business judgment” before considering the reasonableness of charging its “non-preferred” stevedore \$25 access fee under the Shipping Act. But the Commission has clearly rejected that same “deference before reasonableness” argument before. *See Ceres Marine Terminals, Inc. v. Maryland Port Admin.*, Dkt. No. 94-01, 1997 WL 35281266, *37 (FMC Oct. 10, 1997) (“*Ceres*”) (“[b]efore granting deference in any case, the Commission must first assess the reasonableness of the practice involved and then evaluate the grounds articulated to justify the disparate treatment”). Moreover, under AMPORTS' interpretation of business judgment deference, the reasonableness requirement would be effectively eradicated from the analysis; yet AMPORTS provides no authority or basis to depart from established precedent that a reasonableness determination must occur before business deference is considered.

The remaining exceptions, Exceptions 2, 3, 6, 9, 10, and 11, are a combination of duplicative, illegitimate, or trivial arguments. AMPORTS advances various disagreements with the ID's

findings, but without providing meaningful citation to the record, supporting case law, or reasoning why the ID erred. Instead, AMPORTS largely disagrees with the ID’s findings that its purported justifications failed to refute Complainants’ *prima facie* showings. Indeed, many of the remaining exceptions rework the same repetitive arguments asserting that the ID should have applied a “market impact” element, should have deferred to AMPORTS’ purported business judgment, and should have agreed with AMPORTS’ purported justifications.

Finally, two of AMPORTS’ “exceptions” (Exceptions 7 and 8) are not proper exceptions at all, but rather thinly veiled requests for the Commission to issue advisory opinions on how to charge the unlawful \$25 access fee (or something less) retroactively on other users. However, the ID did not leave open any question about whether AMPORTS could charge the unlawful \$25 access fee, or any lesser access fee, on stevedores or any other users of the terminal. AMPORTS’ \$10 access fee is the only lesser access fee potentially at issue in this proceeding.²⁰

Each of AMPORTS’ exceptions is addressed in turn below, but in sum, the exceptions are meritless and should be rejected by the Commission.

A. REPLY TO EXCEPTION 1: The ID Correctly Found the Causes of Action Alleged Do Not Require Establishing “Market Impact”

AMPORTS’ principal exception (comprising more than 1/3 of its entire brief) argues that the *prima facie* case requirements applicable in exclusive arrangement cases must be applied to the causes of action here. Specifically, AMPORTS argues that Complainants were required to show a “market impact” harm before the burden shifted to AMPORTS to justify the reasonableness of charging similarly situated stevedores different and excessive charges for terminal access. AMPORTS’ market impact argument was rightly rejected in the ID and should be so here.

²⁰ It appears that AMPORTS may be implicitly appealing the ID’s decision that the new \$10 access fee was not properly before the ALJ for decision (absent an amended complaint), which, in any event, is one of the matters expressly appealed in Complainants’ exceptions. *See* Complainants’ Exceptions to the Initial Decision of December 16, 2024, Section IV(C).

1. A Market Impact Analysis is Not Required Because This Is Not an Exclusive Arrangement Case

AMPORTS asserts that Complainants were required to show a detrimental market impact as part of their *prima facie* case and that, by failing to do so, their claims fail. AMPORTS derives the “market impact” element from FMC precedent applicable solely to exclusive arrangement cases. Resp. Exc. at 3 (“As the ALJ acknowledges, Commission precedent is quite clear that in an exclusive arrangement case” the relevant market and impact showing are required to establish a *prima facie* case.) (emphasis added). Indeed, each of the cases AMPORTS cites in support are exclusive arrangement cases: *River Parishes Co., Inc. v. Ormet Primary Aluminum Corp.*, Dkt. No. 96-06, 1999 WL 125991, at *1 (FMC Feb. 3, 1999) (MTO granting one tug company an exclusive contract to provide tug assist services at Burnside terminal and implementing a new assist tug policy and practice that excluded all other assist tug operators); *All Marine Moorings, Inc. v. ITO Corp. of Baltimore*, Dkt. No. 94-10, 1996 WL 264720, at *1 (FMC May 15, 1996) (MTO decision to perform its own line-handling on its leased terminal and subsequently excluding complainant from performing line handling at the terminal); *Marine Repair Services of Maryland, Inc. v. Ports America Chesapeake, LLC*, Dkt. No. 11-11, 2013 WL 9808672, at *31 (ALJ Jan. 10, 2013) (MTO with exclusive rights to leased terminal, enacting policies to exclude third-party equipment maintenance and repair (“M&R”) provider from performing M&R services on the terminal and decision to exclude access to overpass bridge for draying equipment for repairs on the terminal).

But this is not an exclusive arrangement case. First, and critically, the ID found that AMPORTS’ preferred and non-preferred stevedoring arrangement did not exclude Complainants from providing stevedoring services at AMPORTS’ terminals. ID at 23. Indeed, the AMPORTS tariff expressly permitted Complainants’ stevedoring operations (albeit for the \$25 access fee). *Id.* Second, Complainants do not allege that the AMPORTS-Ceres preferred stevedoring agreement is an “exclusive agreement” and have not challenged any exclusive arrangement. *Id.* (“Moreover,

Complainants do not argue that the preferred stevedore arrangement Respondent established violates the Shipping Act, nor do Complainants rely on cases involving exclusive arrangements.”) (citations omitted). That point is expressly conceded by AMPORTS. Resp. Exc. at 4 (“Complainants do not assert that the exclusive Agreement between Respondent and Ceres violated the Shipping Act.”).

Yet, according to AMPORTS, a core reason this case should be considered an exclusive arrangement case is because the AMPORTS-Ceres preferred stevedoring agreement is “solely between [AMPORTS] and Ceres for the right to preferential rates at Respondent’s Terminal. Thus, it was an Exclusive Agreement between those parties for preferential rates.”²¹ *Id.* Even if that were true, an exclusive agreement between two parties does not establish that this is an exclusive arrangement case because Complainants were not actually excluded from the terminal. Merely having a bilateral rate agreement with one stevedore (preferential, exclusive, or otherwise) is not enough to insulate an MTO like AMPORTS from Shipping Act scrutiny for charging other similarly situated stevedores higher rates for the same services or benefits. The Commission plainly has not applied the market impact element in preferential terminal practices cases absent an exclusive arrangement. In just one prominent example, the preferential lease agreement to Maersk in *Ceres* did not trigger the “market impact” hurdle in that case. 1997 WL 35281266; *see also* ID at 23. Further, if the Commission were to adopt AMPORTS’ view and impose the “market impact” element in all cases, it would effectively re-write the Shipping Act and overturn precedent to protect

²¹ AMPORTS’ focus on its agreement with Ceres is misplaced. AMPORTS points to a partial quote in the ID—that the AMPORTS-Ceres preferential agreement was “not an exclusive services agreement”—to assert that there is a critical error in the ID’s *prima facie* case analysis. Resp. Exc. at 4. This quote merely outlines that the preferred and non-preferred stevedoring arrangement, including the tariff provisions, that were “announced on November 1, 2022,” did not constitute an exclusive arrangement because, as the ID states in the next sentence, AMPORTS did not actually exclude Complainants from providing stevedoring at the AMPORTS terminals. ID at 23.

otherwise unreasonable conduct/differential treatment except where an additional market impact hurdle is present. That is simply not the law.²²

2. A “Market Impact” Analysis is Only Required When There is Exclusion from Providing a Service or Access to the Terminal

AMPORTS also argues the market impact element should apply even in the absence of an exclusive arrangement, such as where an MTO has a preferential agreement with a single user. But that assertion is not supported by the law. The relevant question for an “exclusive arrangement” case is not whether an MTO has a preferential agreement with a single user, but whether the MTO excludes another user or users from accessing the terminal. *See, e.g., Canaveral Port Auth. – Possible Violations of Section 10(b)(10)*, Dkt. No. 02-02, 2003 WL 723336 (FMC Feb. 24, 2003) and *A.P. St. Philip, Inc. v. The Atlantic Land & Improvement Co. and Seaboard Coast Line RR Co.*, 13 F.M.C. 166, 172 (1969) (finding an “exclusive arrangement” when the port *de facto* excluded tug services by refusing to grant a “non-exclusive” franchise agreements to more than one tug company (*Canaveral*) and when tug operators were excluded from providing services by “conditioning the availability of the terminal facilities only to vessels who utilize the services of a designated tugboat operator” (*A.P. St. Philip*)). As no exclusion exists here, this is simply not an exclusive arrangement case.

AMPORTS’ own cited authority makes clear that the “market impact” element applies only to an MTO’s decision to exclude a complainant from access to a terminal or bar it from providing services, not simply offering preferential terms to competitors. In *Marine Repair Service*, for example, a case heavily relied upon by AMPORTS, the landlord port and respondent entered into a

²² It would also enshrine virtually the opposite approach that the Commission took when adopting the “market impact” element for exclusive arrangement cases in *All Marine Moorings*, 1996 WL 264720, at *4 (citing *Gulf Container Line v. Port of Houston Auth.*, 25 S.R.R. 1454 (1991) (rejecting a broad application of antitrust monopoly and competition principles in place of a hybrid approach based on the Shipping Act’s reasonableness determinations).

50-year lease and major container terminal development and investment project that, among other things, provided respondent with exclusive control over the leased terminal. 2013 WL 9808672, at *27-28. The complainant, a third-party equipment M&R provider, alleged that respondent excluded it from performing M&R services on the leased terminal that it previously performed on the terminal, and excluded it from accessing an overpass bridge that it previously used to dray equipment for repair on the terminal. *Id.*, at *2-7. Complainant’s brief challenged respondent’s “monopoly over chassis and container repairs,” alleging it had been “kicked off” the terminal. Compl. Br., Dkt. No. 11-11 (July 23, 2012). The complainant in *Marine Repair Service* expressly argued that respondent’s conduct was an unlawful exclusive arrangement, explicitly relied on exclusive arrangement precedent, and affirmatively argued that it satisfied the market impact requirement. *Id.* at 4, 19-35. Indeed, the parties agreed that the case was an exclusive agreement challenge. *Marine Repair Services*, 2013 WL 9808672, at * 31. The facts in *Marine Repair Services* clearly demonstrate why its holding is not relevant to this case.

Despite these facts, AMPORTS wrongly implies that *Marine Repair Services* was not actually an exclusive agreement case by: criticizing the ID for “construing the dispute as a challenge to an exclusive service agreement” (Resp. Exc. at 7); asserting that the “case did not concern a challenge to an exclusive arrangement” (*Id.* at 8); and claiming that the complainant “still had access to the respondents’ terminal” and merely “complained of additional costs and burdens.” (*Id.*). None of these assertions are true: the case clearly challenged the exclusive arrangement that excluded complainant from providing M&R services on the terminal—which was the relevant “access” exclusion at issue. Moreover, AMPORTS’ erroneous assertions provide no support for its unsubstantiated conclusion that *Marine Repair Services* supports applying a market impact element

outside of exclusive agreement challenges.²³ AMPORTS, not the ID, misunderstands and misapplies *Marine Repair Service*.

As the ID correctly observed, a “market impact” showing is not required in disparate treatment cases not involving an exclusive arrangement. ID at 23 (citing *Plaquemines Port v. FMC*, 838 F.2d 536 (D.C. Cir. 1988); *Ceres*, 1997 WL 35281266). Rather, the *prima facie* case requirements for unreasonable terminal charges require showing “that the charges assessed did not bear a reasonable relationship to the comparative benefit obtained from the port services by the assessed parties.” (citations omitted). *Ceres*, 1997 WL 35281266, at *38. AMPORTS’ position fundamentally conflicts with seminal precedent such as *Ceres* by replacing the “reasonable relationship to the comparative benefit” element with a “market impact” element.

In summary, the ID rightly distinguished the “exclusive arrangement cases” relied on by AMPORTS, concluding that the “market impact” element in exclusive arrangement cases is not applicable to Complainants’ *prima facie* showing that AMPORTS’ differential and excessive \$25 access fee is an unreasonable practice and an undue preference and prejudice.²⁴ ID at 22-23. The

²³ AMPORTS also claims that the ID “erred in his reading of *All Marine Moorings*” but does not actually explain any misreading or how that exclusive arrangement case is applicable here. 1996 WL 264720 at *10 (FMC, May 15, 1996); Resp. Exc. at 11. AMPORTS makes an even more vague and unpersuasive assertion that the ALJ failed to consider the Commission holding in *River Parishes*, that “[c]ases finding that complainants had met their *prima facie* burden involved indications of monopoly or another anticompetitive arrangements beyond the exclusivity of the arrangements themselves.” Resp. Exc. at 12, citing *River Parishes*, 1999 WL 125991, at *28. But that merely stands for the proposition that a *prima facie* showing in causes of action challenging exclusive arrangements have a market impact element, not that the market impact applies to all Shipping Act causes of action challenging unreasonable and discriminatory terminal practices. The ID correctly distinguished these cases and rejected AMPORTS’ arguments in the briefing below. ID at 22-23.

²⁴ AMPORTS’ suggests that it was illogical for the ALJ to apply the correct *prima facie* standards to assess the access fee challenges here because, if AMPORTS had actually “shut out all other stevedores from its [t]erminals,” the ALJ purportedly “would have recognized the arrangement as exclusive” and then in that situation a market impact showing may have been required. Resp. Exc. at 7. AMPORTS’ criticism highlights that Complainants were not shut out of the terminals and credits the key reason the ID rejected AMPORTS’ market impact argument.

ID's analysis and conclusion distinguishing the exclusive arrangement "market impact" element was well-reasoned and should be adopted by the Commission.

B. REPLY TO EXCEPTION 2: The ID Properly Applied the Burden of Persuasion and Burden of Proof in Finding AMPORTS Violated § 41102(c)

AMPORTS asserts the ID misapplied AMPORTS' burden of production on the basis of illusory semantics. AMPORTS argues that the ID replaced AMPORTS' burden of production with the ultimate burden of proof, based on misinterpreting a snippet of the ID's language "that Respondent has not carried its burden of proof to refute Complainants' *prima facie* case." Resp. Exc. at 12 (emphasis in original). That is simply not the case. First, part of the same quote that AMPORTS choose not to emphasize expressly states that the ID was applying AMPORTS' burden to "refut[e] Complainants' *prima facie* case." Regardless of whether the ID used the word "proof" or "production," in context, it is clear the ID understood that it was properly shifting the burden to refute the *prima facie* case, not shifting the ultimate burden of proof to AMPORTS. Second, beyond the semantics, AMPORTS does not offer any meaningful analysis or even argument showing that the ID's procedural application of AMPORTS' burden was actually incorrect.

The ID found Complainants established a *prima facie* case that AMPORTS' practices violated § 41102(c) by charging much higher access fees without receiving any additional benefits. ID at 25 ("Complainants were charged a much higher fee but received no more benefits than the preferred stevedore. (*See BARMA*, 665 F.2d at 1217) (. . . , 'if the challenger pays more than other parties pay, for fewer benefits than other parties receive, then the charge is unreasonable.'")). The ID then properly shifted the burden to AMPORTS to refute the *prima facie* showing. ID at 25 ("I find that Complainants have made a *prima facie* case of an unjust and unreasonable shipping practice

in violation of § 41102(c). Therefore, the burden of proof shifts to the Respondent to justify the *prima facie* unjust and unreasonable practice.”).²⁵

To refute a *prima facie* case, the justification(s) provided must meet the Commission’s reasonableness test, i.e. “that the practice must be otherwise lawful, not excessive, and reasonably related, fit and appropriate to the ends in view.” *Ceres*, 1997 WL 35281266, at *38 (citing *West Gulf Maritime Ass’n v. Port of Houston Auth.*, 21 F.M.C. 244, 18 S.R.R. 783 (1978)). Here, AMPORTS advanced three purported justifications for charging the much higher access fee to Complainants: (1) increases in efficiency, (2) increases in safety, and (3) increased financial risk of the non-preferred stevedoring accessing the terminals. ID at 25. The ID addressed each of AMPORTS’ purported justifications in detail, concluding they failed to satisfy their burden to refute Complainants’ *prima facie* showing because “the practice of charging a higher fee to the non-preferred stevedore is not reasonably related, fit, and appropriate to any of these ends.” ID at 25 (citing *Ceres*, 1997 WL 35281266, at *38 (quoting *West Gulf Maritime*, 21 F.M.C. at 248) (the benchmark test for reasonableness is whether the practice is “otherwise lawful, not excessive, and reasonably related, fit and appropriate to the ends in view)).”

Regarding efficiency, the ID concluded that AMPORTS’ stated goal to “make the terminals more efficient by limiting the number of stevedores operating at the terminals” was not drafted in the tariff schedule in a way that actually limited more than one stevedore from accessing the terminals, and therefore was not fit and appropriate to achieve the purported goal. ID at 25-26.

²⁵ The ID addressed each element of Complainants’ § 41102(c) claim, easily dispensed of the first three elements, and focused the bulk of its analysis on the fourth element, i.e., whether AMPORTS’ practices were unjust or unreasonable: “[T]he Commission identified the following five elements of a claim under § 41102(c): (a) the respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary; (b) the claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis; (c) the practice or regulation relates to or is connected with receiving, handling, storing or delivering property; (d) the practice or regulation is unjust or unreasonable; and (e) the practice proximately caused the claimed loss. (46 C.F.R. § 545.4).” ID at 21.

Regarding safety, the ID similarly found that charging the much higher access fee for stevedores still accessing the terminals was not designed to achieve that goal. ID at 26.

Regarding the purported increased financial risks of the non-preferred stevedore accessing the terminals, AMPORTS sought to justify charging the \$25 access fee because the non-preferred stevedore did not agree to the same purportedly valuable provisions in the preferred stevedore agreement: specifically, (1) indemnity, (2) insurance, and (3) dispute resolution provisions.²⁶ Resp. Exc. at 16; *see also* RPPF No. 23, CX_01328-1341; ID at 26. The ID thoroughly analyzed each of the three contractual provisions—indemnification, insurance, and arbitration—and discussed the evidence in the record before determining that the provisions did not justify the much higher \$25 access fee. Specifically, the ID reasoned that: “Complainants are subject to the indemnification provisions in [AMPORTS’] tariff schedule” (ID at 26-27); even without a specific tariff requirement to maintain insurance, “Complainants would be able to satisfy its indemnification obligations to Respondent” based on their size and status within the terminal (ID at 28); and a contractual dispute resolution mechanism may have value, but does not guarantee litigation avoidance and does not prevent non-contracting parties from resolving issues without litigation (*Id.*).

AMPORTS fails to substantively challenge any of the ID’s findings. Regarding indemnification, AMPORTS argues the ID’s “treatment of the two indemnification provisions as identical was in error.” Resp. Exc. at 21. The ID does not conclude the provisions in the preferred stevedoring agreement and tariff are identical, but it does conclude that since Complainants are subject to the tariff’s general indemnification provision, “Respondent cannot rely on a Complainants’ lack of indemnification obligation to justify a higher fee charged to the non-preferred stevedore.” ID at 27. Similarly, AMPORTS claims the ID’s conclusion on the insurance provision is incorrect

²⁶ *See* CX_00083-84, CX_00274-77, AMPORTS 143(b)(6) Dep. Tr. 46:13-47:1; 237:3-240:14; CX_00450-51, Buben Dep. Tr. 123:23-124:4; *see also* CX_01508, CX_01510, Respondent’s Answers to Interrogatory Nos. 11 and 17.

because “[Complainants] are individual legal entities, and therefore the size of their parent entity or affiliates is irrelevant to their ability or willingness to satisfy indemnification obligations.” Resp. Exc. at 23. This argument is directly undermined by AMPORTS’ briefing papers, which allege Complainants, “a national as well as local ‘Goliath,’” [REDACTED] [REDACTED].”²⁷ Finally, AMPORTS argues the ID dismisses the value of arbitration by citing to the provisions of the Federal Arbitration Act and the Commission’s “long history of following the federal policy favoring enforcement of arbitration agreements in contracts.” Resp. Exc. at 24. None of these arguments has any bearing or relevance to the ID’s conclusion that the lack of a contractual dispute resolution mechanism does not justify charging a much higher \$25 access fee. ID at 28.

AMPORTS focuses its exceptions on the alleged value to AMPORTS of preferred stevedoring agreement provisions, but AMPORTS does not appeal the ID’s findings and conclusions rejecting AMPORTS’ purported justifications that the \$25 access fee had value to Complainants, e.g., that paying the access fees benefited Complainants with better infrastructure, etc. AMPORTS does not challenge the ID’s application of Commission precedent that fees must be reasonably related or allocated to a service or benefit received by the payor (ID at 24-25); AMPORTS does not appeal the ID’s Finding of Fact No. 24 that AMPORTS “did not identify any unique benefit that is connected with the \$25/per vehicle access fee,” including any of the purported terminal infrastructure benefits that it asserted below, such as “maintenance, repair, pavement, and improvement of terminal facilities including roadways and lighting” etc. (*Id.* at 14, Finding of Fact No. 24); and AMPORTS does not substantively appeal the ID’s conclusion that “the benefits of Respondent’s efforts to maintain and operate the terminal” were “benefits that the preferred stevedore would also receive

²⁷ RPFF ¶ 5; CX_00923-25; RPFF ¶ 6; CX_01068-69, CX_00918-921.

without having to pay the ‘much higher’ access fee” (*Id.* at 25). AMPORTS abandons its arguments below that the \$25 access fee provided any value to Complainants.

In summary, the ID properly evaluated and determined that AMPORTS did not meet its burden because its justifications did not refute Complainants’ *prima facie* showing. The ID found that Complainants were subject to indemnification obligations, were likely to carry sufficient insurance, and that dispute resolution did not provide a clear basis to differentiate value. ID at 26-28. Moreover, because AMPORTS does not challenge the substance of the ID’s conclusions (other than its challenge to the application of AMPORTS’ burden just dispensed with), AMPORTS’ exceptions do not provide a reasoned basis to depart from the well supported findings in the ID. The Commission should reject AMPORTS’ unsubstantiated arguments that the ID misapplied AMPORTS’ burden of production.

C. REPLY TO EXCEPTION 3: AMPORTS’ Assertion That the ID Did Not “Accurately Reflect the Preferred Stevedore License and Stevedore Agreement” is Spurious and Irrelevant

AMPORTS next asserts its baseless exception to the ID’s Finding of Fact No. 16, complaining it “identified only three provisions” from the preferred stevedoring agreement and failed to address “a number of other provisions of value to Respondent,” Resp. Exc. at 15, thereby performing an incomplete or insufficient reasonableness analysis. That claim is contradicted by the plain text of the ID. The ID specifically addressed the three provisions referenced by AMPORTS—indemnification, insurance, and dispute resolution—because AMPORTS offered those specific provisions as purported justifications for its differing treatment of Ceres and Complainants.²⁸ ID at 25-26 (“Respondent asserted that non-preferred stevedores pose a financial risk because they did not sign an agreement with indemnity and insurance requirements, as well as a dispute resolution

²⁸ CX_01328-41, AMPORTS 143(b)(6) Dep. Ex. 17; CX_00683-84, Taylor Dep. Tr. 148:10-149:1; CX_00355, Buben Dep. Tr. 28:3-15; CX_01508, CX_01510, Respondent’s Answer to Interrogatory Nos. 11 and 17.

clause.”). The obligation to provide justifications to refute Complainants’ *prima facie* case lies with AMPORTS and the ID addressed each in turn. As addressed in Section IV(B), *supra*, the ID properly concluded these items did not justify the higher \$25 access fee on non-preferred stevedores.

AMPORTS makes the argument on appeal that the ID failed to address all provisions “of value to Respondent,” presented as a bulleted list of thirteen contract headings—ten of which AMPORTS did not identify as purported justifications. AMPORTS fails to provide any authority supporting the claim that the ID was required to expressly address arguments not otherwise raised in AMPORTS’ own briefing.²⁹ Furthermore, AMPORTS provides no explanation or argument as to why the newly raised contract terms have any differential value. Resp. Exc. at 15. Without more, the laundry list of contract headings is wholly inadequate.

Finally, because the ID dispensed with AMPORTS’ purported justifications on the merits, the ID did not address all of Complainants’ arguments refuting the purported differential value of any preferred stevedoring agreement provisions. Those arguments from Complainants’ briefing include: (1) AMPORTS had the express right in the tariff to condition a non-preferred stevedore’s access to the terminal at any time and require that Complainants agree to an access agreement, which could have covered the same contract provisions; and (2) AMPORTS could have amended the tariff access rule at any time to require non-preferred stevedores to provide the same assurances, which is exactly what AMPORTS did in its May 2024 tariff changes.³⁰ Thus, to the extent that the

²⁹ Case law in fact says the opposite. See *U.S. v. Sineneng-Smith*, 590 U.S. 371, 375 (2020), citing *Castro v. U.S.*, 540 U.S. 375 (2003) (“[A]s a general rule, our system ‘is designed around the premise that the parties know what is best for them, and are responsible for advancing the facts and argument entitling them to relief.’”); *Gutierrez v. Johnson & Johnson*, 743 F. Supp. 2d 418, 423 (D.N.J. 2010) (“A district court cannot be shown to have overlooked an argument simply because the court does not expressly discuss it in an opinion... Rather ‘[a]n argument may be regarded as having been considered if it is presented to the court in written submissions and in oral argument’”) (citations omitted).

³⁰ See Opening Brief at 20 (“Moreover, even if there were marginal differences in the contract rights versus the rights obtained via the AMPORTS Schedule, AMPORTS had the right to require that its ocean carrier and/or OEM customers enter into a written Access Agreement that could have provided

Commission entertains AMPORTS' attempt to expand its alleged justifications on appeal, the Commission should necessarily address Complainants' rebuttal arguments and evidence advanced below but not addressed in the ID.

D. REPLY TO EXCEPTION 4: The ID Properly Found AMPORTS Is Not Entitled to Business Deference before an Initial Determination of Reasonableness and Rejected AMPORTS' Purported Justifications

Exception 4 erroneously asserts that the ID erred by failing to defer to AMPORTS' business judgment. Resp. Exc. at 16-17. Under well-established FMC precedent, the Commission first determines the reasonableness of the justifications presented before deferring to business judgment. *Ceres*, 1997 WL 35281266, at *37. If a justification is considered reasonable—i.e. lawful, not excessive, and reasonably related, fit and appropriate to the end in view—only then can the Commission defer to a party's business decisions. *Id.* But deference is appropriate only after the reasonableness of a practice is analyzed. AMPORTS' implicit argument, that it is entitled to deference before evaluation of reasonableness is not supported by any authority, was rejected in the ID below and would turn the Commission's business judgment standard on its head.

AMPORTS also yet again points to the purported preferred stevedore agreement contract justifications for charging the much higher access fee to Complainants—(1) increases in efficiency, (2) increases in safety, and (3) increased financial risk of the non-preferred stevedores accessing the terminals, as well as never before asserted variations on other contract provisions. ID at 25. These arguments on the original three provisions and the various new ones have been addressed and rebutted in detail in Sections IV(B) and (C), *supra*. None of these purported justifications refute Complainants' *prima facie* case. ID at 25-28.

the identical insurance and indemnity provisions contained in the preferred stevedoring agreements. See CX_01388, AMPORTS 143(b)(6) Dep. Ex. 33 (AMPORTS Schedule), Rule 34 2, Jan. 1, 2022.” And further, “AMPORTS could have sought to amend the AMPORTS Schedule” and indeed did so in in the 2024 tariff amendments to Rules 34 2 (discussed in Section IV(A)(b)(iii)(2) of the Opening brief) and in new requirements for “Stevedoring Service Provider Insurance” in Rule 34 11.

AMPORTS also argues that the ID improperly assessed the reasonableness of the proffered justifications on the basis of “whether the decisions actually accomplish[ed] their goals.” Resp. Exc. at 17. The ID’s evaluation and findings was not based on whether the goals were actually accomplished, but whether AMPORTS’ actions were reasonably related to achieving the stated goals, which the ID concluded they were not. ID at 28. Namely, the ID found that they were not designed in a way that would actually work (i.e. achieving safety and efficiency by excluding other stevedores would not work because AMPORTS did not actually exclude other stevedores).³¹ *Id.* Because the ID concluded that AMPORTS’ justifications did not refute Complainants’ *prima facie* showing, the ID correctly declined to defer to AMPORTS’ business judgment. *Id.* Thus, the ID did not substitute its own opinions for AMPORTS’ business judgment; it merely declined to afford AMPORTS’ business decisions deference. ID at 25-28.

All of AMPORTS’ arguments in Exception 4 hinge on the faulty premise that the ID should have deferred to AMPORTS’ business decisions without first evaluating reasonableness. Commission precedent is clear “that is not an appropriate use of the concept of deference.” *Ceres*, 1997 WL 35281266, at *37. Deference was not appropriate below, and it is not appropriate now.

E. REPLY TO EXCEPTION 5: The ID Properly Found AMPORTS is Not Entitled to Business Deference before an Initial Determination of Reasonableness and Rejected AMPORTS’ Purported Justifications

AMPORTS advances substantially the same arguments in Exception 5 challenging the violation of § 41106(2) as it raised in Exceptions 2 and 4, including reprising its arguments about the purported value of provisions in its preferred stevedoring agreement, seeking business judgment

³¹ Respondent inaccurately claims the ALJ concedes “actions taken by Respondent were reasonably related to those goals,” Resp. Exc. at 12, however that is not what the ID found. (“I find that the practice of charging a higher fee to the non-preferred stevedore is not reasonably related, fit, and appropriate to any of these ends.” ID at 25.)

deference, and asserting that AMPORTS' burden was not properly applied. Resp. Exc. at 24-26. As already addressed in Sections IV(B) & (D), *supra*, each of these arguments fail.

While fundamentally the same, in Exception 5 AMPORTS appears to recognize that the Commission requires an evaluation of reasonableness before any deference is shown. Resp. Exc. at 24. ("The Commission, however, continued, stating that: 'But a port authority must provide its reasoning before any deference can be shown.'" ID at 35.) AMPORTS then argues that it did provide justifications, but that the ID "dismissed Respondent's reasoning without discussion." *Id.* That is false. The ID addressed AMPORTS' arguments stating that "Respondent points to similar [transportation factor] justifications for the higher fee: efficiency, safety, and mitigation of financial risk." ID at 35. But rather than repeat its evaluation of the same purported justifications again, the ID cross references its prior analysis, noting "I discussed above, however, why those justifications are not persuasive." ID at 35. The ID plainly did not "dismiss[] Respondent's reasoning without discussion."

AMPORTS does not otherwise challenge the ID's substantive evaluation of the justifications, but instead again repackages substantially the same argument asserting that provisions in the preferred stevedoring agreement have value and the ID's findings otherwise are "contrary to the record and unsupportable in light of the preferred stevedoring agreement." Resp. Exc. at 25. As discussed at length in Section IV(B) and (D), *supra*, the record clearly supports the ID's analysis and findings that the purported value of the contract provisions was considered and found not to justify the higher access fees. ID at 28.

F. REPLY TO EXCEPTION 6: The ID Properly Found that AMPORTS Lacked a Reasonable or Lawful Basis to Charge Complainants for the \$25 Access Fee

AMPORTS disputes the ID's finding that it violated § 41102(c) by attempting to collect the \$25 access fee from Complainants pursuant to its tariff as an implied contract. The ID found that the tariff unambiguously did not authorize collection of the \$25 access fee from non-preferred

stevedores. ID at 30-31. AMPORTS principally argues that its March 31, 2024 letter—which stated AMPORTS’ intent to charge and collect the \$25 access fee from Complainants (not the ocean carriers or cargo interests)—purportedly “clarified the ambiguity” in the tariff surrounding who was responsible for paying the access fee. Resp. Exc. at 27-28. In addition, AMPORTS points to various anecdotal actions and inactions on Complainants’ part that purportedly indicated they understood AMPORTS intended to collect the access fee from non-preferred stevedores. *Id.* at 28. Based on that, AMPORTS concludes it is “fully within its rights under the tariff to charge the non-preferred stevedore access fees.” *Id.* AMPORTS’ argument is fatally flawed.

AMPORTS does not explain how its argument relates to any cognizable legal theory, does not explain the “rights under the tariff” it purports to rely on, and cites no legal authority in support of any of the foregoing points. AMPORTS generically criticizes the ID’s tariff analysis as “not in accord with traditional contractual construction,” Resp. Exc. at 26, but provides no further explanation or analysis and does not provide any rebuttal or supplemental authority.

The ID’s findings and conclusion are well-reasoned and well supported. It relies on and cites to decades of FMC precedent supporting the key principles it relies on, *e.g.*, that tariffs are construed reasonably, without a strained or unnatural construction, and on the basis of the express language, and the well-established authority that ambiguous tariff provisions are “resolved against the drafter.” ID at 30-31 (citing *S.A. Chiarella v. Paeon Express, Inc.*, 2001 WL 1085424, *3 (FMC Aug. 1, 2017)).³²

³² “In general, tariffs are construed reasonably, without a strained or unnatural construction. (*D.F. Young, Inc. v. NYK Line (North America) Inc.*, 2017 WL 3382690, *18 (ALJ Aug. 1, 2017) (quoting *S.A. Chiarella v. Paeon Express, Inc.*, 2001 WL 1085424, *3 (FMC Aug. 15, 2001)). Tariff interpretation is governed by the express language of the tariff, not the unexpressed intent of the author. (*C.S.C. Int’l v. Lykes Bros.*, 20 F.M.C. 552, 555 (ALJ, 1978)). If a tariff is ambiguous, the ambiguity is resolved against the drafter. (*Chiarella*, 2001 WL 1085424, at *3).” ID at 30-31.

Remarkably, AMPORTS makes no attempt to rebut the ID’s key finding that the tariff access fee rule, Rule 34 2, **does not** authorize collection of the access fee from a non-preferred stevedore. ID at 31 (“[g]iven the context of who hires stevedores, the reasonable and natural reading of the tariff schedule provision at issue clearly provides that the carriers and OEMs are responsible for paying the access fee.”).³³ Nor does AMPORTS directly address the ID’s finding that the March 31, 2023 letter “does not change the express language of the tariff schedule nor does Respondent cite to any authority showing its letter to affect a change in the tariff schedule.” ID at 31. The ID dispensed with AMPORTS’ argument that the letter provided clarity or notice, concluding that “[t]his is not a relevant fact.” *Id.* Indeed, AMPORTS concedes in its exceptions that the letter “does not, of course, change the express language of the tariff schedule.” Resp. Exc. at 27.

Instead of challenging the basis for the ID’s decision, the applicable law, or the application of law to facts, AMPORTS doubles down on its flawed narrative around the March 31, 2023 letter and Complainants’ purported awareness of AMPORTS’ intent to charge Complainants. Based on the letter, AMPORTS concludes that “Ports America was clearly on notice not later than March 31, 2023 that it would be required to pay the [access fees].” Resp. Exc. at 28. To the extent AMPORTS is trying to argue that Complainants agreed to pay the access fees, whether as a result of notice of the letter or otherwise, Complainants specifically rejected, in writing, any notion of agreement or acquiescence to AMPORTS’ intention to collect the access fees. ID Finding of Fact No. 29 (Complainants’ April 13, 2003 letter in response); ID Finding of Fact No. 35 (Complainants’ May 23, 2023 response to AMPORTS’ access fee invoices).

³³ AMPORTS claims that “the ALJ conceded” that the term “customer” in a general tariff definition was defined as essentially any and all users. Resp. Exc. at 27. But those statements and citations were made in the context of other general tariff provisions, such as indemnity provisions, and obviously do not “concede” that the ALJ’s findings of term “customer” as used in Rule 34 2, specifically regarding the access fee, mean users other than ocean carriers and cargo interests.

Further, whether or not Complainants knew that AMPORTS intended to charge non-preferred stevedores is, as the ID said, irrelevant. The relevant question is whether AMPORTS' intent is set forth in the tariff, and whether AMPORTS had a legally enforceable basis to collect the access fees. It did not have an enforceable basis via the tariff as an implied contract or via the letter. AMPORTS simply ignores the ID's conclusion that it was not reasonable for Respondent to collect the access fees from Complainants (even if the access fees had not been found unlawful).

G. REPLY TO EXCEPTION 7: AMPORTS Failed to Justify the \$25 Access Fee Regardless of Who Was Charged—the “Invitation to Further Litigation” Is Neither Relevant Nor Accurate

Exceptions 7 and 8 are simply AMPORTS' attempts to establish a basis for collecting the \$25 access fee from parties other than Complainants and continue its violations by other means.

AMPORTS argues footnote 9 of the ID provides a legitimate basis to appeal because, it asserts, it “appears to invite further litigation against Respondent based on its preferred stevedoring agreement.” Resp. Exc. at 29. The ID does not invite litigation, it is forestalling it. The ID notes in footnote 9 that despite the tariff providing for collection of access fees from ocean carriers or OEM cargo interests (not the non-preferred stevedore), collection of the unlawful access fee from carriers would not likely be reasonable or lawful for the same reasons as charging non-preferred stevedores—because it would “require[] the carriers and OEMs to pay substantially higher fees to use Complainants as opposed to Ceres for the same services, but with no valid justification for the higher fees.” ID at 32, n. 9. AMPORTS does not attempt to rebut this directly, but instead cites to various statements taken out of context from the ID that it contends show the preferred stevedoring agreement provided significant benefits. Resp. Exc. at 30. But the ID clearly rejects these arguments. As discussed at length in Sections IV(B), (C), and (D), *supra*, the ID properly analyzed AMPORTS' purported justifications for imposing the much higher \$25 access fee and concluded the

fee is unlawful and unreasonable because it is not reasonably related, fit, and appropriate to its alleged purpose. This rationale applies regardless of who is assessed the fee. ID at 28.

Finally, AMPORTS suggests that footnote 9 creates “an unreasonable ‘Catch-22’ scenario” by directly conflicting with the ID’s determination that the tariff “properly charges the \$25 per car access fee to carriers and OEMs.” Resp. Exc. at 31. AMPORTS confuses the findings on authority to collect charges in the tariff with the lawfulness of the charges themselves under the Shipping Act. There is no Catch-22 here because, even if the tariff authorized collection of a charge from carriers or OEM cargo interests, if the underlying charge is not reasonable, collecting it even from persons “authorized” to pay is not reasonable.

H. REPLY TO EXCEPTION 8: AMPORTS’ Exception 8 Improperly Seeks an Advisory Opinion that It Can Retroactively Bill Others for the Unlawful \$25 Access Fee

Exception 8 amounts to an inappropriate request for an advisory opinion from the Commission on whether a different amount would constitute a “reasonable fee” and from whom such a fee could be collected. Resp. Exc. at 31. AMPORTS charging a lesser amount to the non-preferred stevedore or the \$25 access fee to other terminal users are issues not before the Commission in this proceeding. It is plainly inappropriate, after being found to have violated the Shipping Act by charging an unlawful fee, to ask the Commission’s opinion on alternative structures to lawfully charge an access fee. Resp. Exc. at 31.

The Shipping Act authorizes the adjudication of private party complaint proceedings that allege actual violations of the Shipping Act. *See* 46 U.S.C. § 41301(a). Neither AMPORTS nor an ocean carrier or OEM cargo interest has filed a complaint alleging a violation of the Shipping Act. Absent such a proceeding, there is no basis to adjudicate a hypothetical violation or “complaint.” *See, e.g., Samsung Electronics America, Inc. v. SM Line Corp.*, Dkt. No. 23-01, 2023 WL 7328877 (ALJ Oct. 30, 2023) (denying motion for leave to file a complaint because it did not allege violations

of the Shipping Act or cite to the relied upon authority); *see also M.E. Dey & Co., Inc. v. Hapag-Lloyd AG and Hapag Lloyd (America) LLC*, Dkt. No. 22-35, 2023 WL 3174109 (ALJ Apr. 27, 2023) (dismissal of a complaint on the grounds that it does not allege a violation).

The ID correctly concluded that AMPORTS' \$25 access fee was unreasonable and in violation of § 41102(c). There are no gaps in the ID that result in "open questions" related to these issues. It is an undisputed fact AMPORTS attempted to impose the \$25 access fee on Complainants from January 2023 through May 2024, and that there was no "fee less than \$25" in the tariff during that time period.

Aside from seeking an inappropriate advisory opinion, Exception 8 clearly indicates AMPORTS' belief and intention to charge access fees one way or another, which is why AMPORTS' effort to do so via its \$10 access fee should be considered in this proceeding. Resp. Exc. at 32. Indeed, AMPORTS is essentially taking exception to the ID's determination that the lower \$10 access fee was not properly before the ALJ. Complainants similarly take exception to that position.³⁴ On the basis of its *de novo* review of the existing record, the Commission should review the \$10 access fee under § 41102(c) and find Complainants established a *prima facie* case that the \$10/per vehicle access fee assessed on all stevedores effective June 1, 2024 is unreasonable under § 41102(c).

I. REPLY TO EXCEPTION 9: The Commission Does Not Lack Jurisdiction over Business Interference Claims where Conduct Is Unjust and Unreasonable in Violation § 41102(c)

The Commission's jurisdiction over Complainants' lost business claim is clear and need not be reopened. AMPORTS questions the Commission's authority under *Securities & Exchange Comm'n v. Jarkesy*, but ultimately agrees with the ID and concedes the issue "may be mooted" by the ID's findings. Resp. Exc. at 32-33. AMPORTS is not aggrieved on this issue and therefore lacks a legitimate legal basis for the exception. The ID addressed Complainants' argument that

³⁴ See Complainants' Exceptions to the Initial Decision of December 16, 2024, Section IV(C).

AMPORTS interfered with Complainants' business relationships and found the theory of violating a state law did not establish a violation of § 41102(c), however Complainants did not take exception to the finding, because the claim was duplicative of an already established violation and the resulting remedy. Complainants nonetheless object to Exception 9 on the basis that it asserts the Commission would lack jurisdiction over a claim alleging unjust and unreasonable practices in violation of the Shipping Act, as more fully addressed in Complainants' briefing below.

J. REPLY TO EXCEPTION 10: AMPORTS Exception to Finding of Fact No. 15 Is Incorrect and Irrelevant

AMPORTS objects to ID Finding of Fact No. 15 asserting that Respondent entered into an exclusive stevedoring agreement with a single stevedore provider, not a "license agreement" with "existing stevedores." Resp. Exc. at 33. This objection is both immaterial and irrelevant.

On its face, the preferred stevedoring agreement is clearly "a licensing agreement with existing stevedores." ID Finding of Fact No. 15. Indeed, it is titled "License and Stevedoring Agreement for the Atlantic and Chesapeake Terminal, MD" and states that Ceres currently has access to the terminal.³⁵ Thus, the agreement on its face is a license agreement with an "existing" stevedore.

Whether the preferred stevedoring agreement granted Ceres an "exclusive license," as discussed in Section IV(A), *supra*, does not establish that AMPORTS enacted an exclusive arrangement with respect to Complainants. The plain language of AMPORTS' tariff shows it was not an exclusive arrangement. *See*, ID Finding of Fact No. 23 (quoting the AMPORTS tariff: "(ii) After a competitive bidding process, Terminal has granted an Exclusive License to Ceres Terminals, Incorporated ("Service Provider") ... to provide unloading services for all roll-on/roll-off ('Ro/ro') Motor Vehicle cargo at the Terminal. (iii) ... If a customer would like to continue to use their current partnership with another stevedoring company, they will be able to do so by paying a \$25.00 per unit

³⁵ CX_01328, AMPORTS 143(b)(6) Dep. Ex. 17.

fee.”). AMPORTS’ tariff expressly contemplated that non-preferred stevedores, including Complainants, could continue to access the terminal. ID at 26. As such, the ID rightfully found that “the terminal schedule was drafted in a way that did not actually limit access to the terminal.” ID at 26. AMPORTS’ tariff expressly contemplated that non-preferred stevedores, including Complainants, would continue to access the terminal; the preferred stevedoring agreement was not an exclusive arrangement. *Id.*

AMPORTS’ Exception 10 is merely another attempt to reframe the preferred stevedoring agreement as an exclusive arrangement, in a baseless attempt to argue this is an exclusive arrangement case, *see* Section IV(A), *supra*. As correctly determined by the ID, it is not.

K. REPLY TO EXCEPTION 11: The ID Correctly Found Complainants Introduced Evidence of Lost Business

The ID properly found that Complainants introduced evidence that they established lost business because of the unlawful \$25 access fee. ID Finding of Fact No. 36. AMPORTS argues the spreadsheets on which ID Finding of Fact No. 36 is based are unverified and uncorroborated, and do not represent lost volumes, but instead “lower volumes.” Resp. Exc. at 34. That is a non-sequitur: lower volumes are lost volumes. AMPORTS also appears to challenge the ID’s substantive finding by pointing to its own proposed findings of fact 59, 60, 62, and 63. *Id.* First, the ID considered the parties respective findings of fact (and rebuttals thereto) when reaching the findings of fact in the ID. Other than disagreeing with the result, AMPORTS does not explain why the ID’s findings were in error. Second, the proposed findings of fact AMPORTS cites do not support the proposition that ID Finding of Fact No. 36 was in error. AMPORTS’ proposed findings of fact Nos. 59 and 60 provide no support for its “lower volume” assertions, and as to purported lack of verifications, grossly mischaracterize the testimony, which identified the source of the data, discussed the

assumptions that went into the calculations, and clarified how lost business would be calculated.³⁶ AMPORTS' proposed findings of fact Nos. 62 and 63 speculate on causation and whether customers could divert to other terminals, but neither support AMPORTS' "lower volume" argument.

The evidence in the record clearly supports the ID's finding that Complainants lost volume due to AMPORTS' unlawful practices. It is undisputed that, prior to the implementation of the preferred stevedoring program and \$25 access fee, Complainants had long-standing business relationships and agreements to perform stevedoring at AMPORTS' terminals with multiple ocean carriers.³⁷ Nearly all that volume was lost to Ceres following implementation of the \$25 access fee.³⁸

AMPORTS fails to provide any new analysis or support for its assertion that Complainants did not lose volume because of the unlawful \$25 access fee or substantiate its exception for ID Finding of Fact No. 36.³⁹

V. CONCLUSION

Despite AMPORTS' efforts to reframe this case as an exclusive arrangement case, it is not, and no "market impact" requirement applies. Similarly, despite AMPORTS desperately seeking deference to business judgment, it cannot avoid the Shipping Act's requirement that the Commission first evaluate the reasonableness of AMPORTS' conduct. The ID correctly determined that AMPORTS' purported justifications were not reasonably related, fit, or appropriate to meet any of

³⁶ CX_01165-68, Schmidt Dep. Tr. 126:5-129:1.

³⁷ PFF ¶ 13; CX_01069-70, Schmidt Dep. Tr. 30:15-31:2; CX_00925-26, Beall Dep. Tr. 31:16-32:10; CX_00822, Molyneaux Dep. Tr. 69:10-23; PFF ¶ 143; CX_01157; CX_01158, Schmidt Dep. 118:7-13; 119:10-18.

³⁸ See CX_02043, PA_0002235 (summary table); CX_2040-42, PA_0002232-34 (backup data table details); see also CX_01562, Schmidt Dep. Ex. 3, Interrogatory 10; CX_01532, Beall Dep. Ex. 2, Interrogatory 10.

³⁹ Further, as to the actual substance of lost volumes, evidence establishing lost volumes is addressed in Section IV(A)(5) of Complainants' Exceptions.

the stated goals. For all the reasons set forth above, the Commission should affirm the ID on the matters appealed by AMPORTS and reject AMPORTS' exceptions.

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Respectfully Submitted,

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CERTIFICATE OF SERVICE

The undersigned hereby certifies that on the execution date which appears below, the undersigned served the attached document on counsel at the following email addresses:

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